Company Registration No. 02448457 (England and Wales)

Mercedes-Benz

MERCEDES-BENZ UK LIMITED

FORMERLY MERCEDES-BENZ CARS UK LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2022

MERCEDES-BENZ UK LIMITED

COMPANY INFORMATION

Directors	M Breitschwerdt	
	G Savage	
	W Pipperger	(Appointed 1 September 2023)
	Harald Henn	(Resigned 30 November 2023)
Secretary	J Lipman	
Company number	02448457	
Registered office	Delaware Drive Tongwell Milton Keynes Buckinghamshire MK15 8BA	
Auditor	KPMG LLP 2 Forbury Place 33 Forbury Road Reading RG1 3AD	

MERCEDES-BENZ UK LIMITED

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The directors present the strategic report for Mercedes-Benz UK Limited (the "Company") for the year ended 31 December 2022.

Principal Activity

On 31 December 2022, the principal activity of the Company was that of importing, wholesale, and distribution of Mercedes-Benz Cars products in the United Kingdom.

Strategic Objectives

The automotive industry is currently in the middle of a significant transformation. Moreover, the world as a whole is changing at an increasingly dynamic rate. Sustainability and, in particular, environmental and climate protection are among the most urgent issues of our time. Digitalisation and shifts in global trade are changing the business and the Company. We firmly believe that individual mobility will remain a basic human need, and it will have to be provided in an energy-saving, low-emission and environmentally compatible manner. As a Company, we also bear social responsibility. Not only do we face up to the challenges of the future; as the inventor of the automobile, we also want to set benchmarks for tomorrow's sustainable mobility.

In 2022, Mercedes-Benz Group (MBGAG) presented the Mercedes-Benz strategy. The goal is to build the world's most desirable cars, and be positioned as a pure play luxury car company. The group is aiming to further increase structural profitability and take the lead in shaping the successful transformation to an emission-free and software-driven future. Focus will be on our core business and improving the customer experience even more strongly than before, while utilising the potential of digitalisation. Sustainability, integrity and diversity serve as the foundation of the strategy. Everyone's actions are becoming increasingly important with regard to climate change.

As a result of the above the Company has set targets and objectives at a local level which align with the industry and group strategy.

Review of the business

2022 presented the Company with some challenges. The pandemic-related disruptions in the global supply chains, which began in 2020, continued into 2022. These disruptions led to noticeable supply bottlenecks for certain semi-conductor components, as a result of which the continued high-level of demand from customers unfortunately, despite great efforts, were not entirely met. However, the extraordinary commitment of Management, the executives, and all employees ensured that results remained strong.

The overall UK car market remained flat at a 2% decrease in registrations against 2021. The shift in Company strategy combined with supply issues meant a decrease of 17% in registrations versus 2021, this is also seen in the market share dropping to 5.0% (2021: 5.1%).

The sales mix in 2022 resulted in profit before taxation for the year of £47,207k (2021: profit of £67,491k).

The supply and production challenges did not continue into 2023. However, the effects of inflation and increases in cost of living significantly influenced consumer and business confidence and undoubtedly affected the market.

The Company's key performance indicators for the year are summarised below.

Wholesales (units)		**Registration (units)**		**Revenue (£m)**	
2022	**2021**	**2022**	**2021**	**2022**	**2021**
78,693	86,099	80,910	97,522	3,291	3,242

Financial risk management objectives and policies

Management are continuously assessing the Company and industry's exposure to risks, and have concluded the below risks to be the key risks in relation to the Company and its ongoing operations.

Market risk

Crucial to the continued success of the automotive market is the development of Electric Vehicles (EVs) and the infrastructure needed to support these. With sizeable fines imposed for manufacturers missing their CO2 targets, which become more stringent every year, the significance of EVs within the Company's product portfolio will continue to grow. One of the key factors is that we are dependent on the Government and Charge Point Operators (CPO's) to increase the availability of charge points to enable our customers to make the change to electric. Management are constantly reviewing market trends, particularly in light of the Government's announcement of no Internal Combustion Engine (ICE) sales from 2035 onwards.

The cost of living crisis in the UK is having an effect on the disposable income in people's pockets, and on their confidence in the economy. The directors are continuously reviewing market conditions, and the Company's position in the market, to ensure ongoing competitiveness and demand.

Residual value risk

The Company is exposed to fluctuations in demand in the used car market, specifically changes in market values due to its involvement in sale and repurchase arrangements. The Company employs a specialist team to continually monitor market values, with a reporting line to the Directors. A committee meets on a quarterly basis to set guaranteed repurchase prices that are in line with expectations of market movements over the corresponding period. In addition the management of the Finance Department meet on a quarterly basis to understand any significant financial risk and ensure this is appropriately reflected in the financial statements.

Cash flow risk

The Company is not significantly exposed to changes in foreign currency exchange rates or fluctuating interest rates as it is a wholly owned subsidiary, financed entirely by its ultimate parent undertaking and does not make material sales or purchases in any currency other than Sterling.

Legal Risk

The most significant to us relates to the CO2 target which is already covered in the market risk, Other changes in legislation generally refer to extra reporting and are well signposted. It is widely publicised that there are multiple class actions against automotive manufacturers, in relation to diesel car emissions. The Company is subject of such a class action.

Competition risk

Market trends are continually being analysed, as well as significant worldwide research and development into our products ensuring they are on the cutting edge of technology.

Credit risk

The Company's principal financial assets are trade and other receivables, including the cash-pooling account held on a group level.
Credit risk is mitigated as the majority of vehicles are sold to another group company rather than directly to end customers. That company bears the credit risk on the sale to the ultimate customer.

Credit risk on direct sales of parts to the dealer network and vehicles to fleet customers is mitigated as exposure is spread over a large number of counterparties and customers, who are also subject to rigorous monitoring.
The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

Liquidity risk

The Company's exposure to liquidity risk is minimised as it is a wholly owned subsidiary, financed entirely by its ultimate parent undertaking.

Streamlined Energy and Carbon Report (SECR)

As a group, Mercedes-Benz AG (MBAG) assume responsibility for the economic, ecological and social effects of our business activity. As a founding member of the UN Global Compact, we are committed to the Compact's ten universal principles, the United Nations' Sustainable Development Goals and the Paris Agreement on climate change.

Sustainability is part of the foundation of our Mercedes-Benz strategy and thus an integral part of our corporate strategy. We want to create permanent value for our stakeholders: our customers, employees, investors, business partners and society as a whole. This requires a culture of integrity and future-oriented cooperation with our workforce and our partners in industry, government and society at large. Diversity is our driving force for ideas, renewal and inventiveness, all of which we actively strive to achieve. A central sustainability management system enables the effective planning of ambitious goals and their implementation.

UK energy use and associated greenhouse gas emissions

The Company presents its annual energy usage and associated annual greenhouse gas emissions pursuant to the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018 ("the 2018 Regulations") that came into force on 1 April 2019.

Included in this report is the office site in Milton Keynes, as well as Company owned vehicles and personal vehicles used for business mileage.

The energy and carbon emissions report is aligned to the financial reporting year of 1 January 2022 to 31 December 2022.

Quantification and reporting methodology

The 2019 UK Government Environmental Reporting Guidelines and the GHG Protocol Corporate Accounting and Reporting Standard (revised edition) were followed. The 2021 UK Government GHG Conversion Factors for Company Reporting were used in emission calculations.

Electricity and gas consumption were based on usage reports from our utility partners, while mileage reports were used to calculate energy and emissions from fleet vehicles and employee business mileage. Gross calorific values were used except for mileage energy calculations as per Government GHG Conversion Factors.

The emissions are divided into mandatory and voluntary emissions according to the 2018 Regulations, then further divided into the direct combustion of fuels and the operation of facilities (scope 1), indirect emissions from purchased electricity (scope 2) and further indirect emissions that occur as a consequence of company activities (scope 3).

Breakdown of energy consumption used to calculate emissions (kWh):

	2022	**2021**
Energy Type	**kWh**	**kWh**
Gas	3,626,601	6,226,009
Electricity	4,244,707	4,390,579
Transport Fuel	2,552,188	932,889
	10,423,496	**11,549,477**

Breakdown of emissions associated with reported energy use:

Emission Source		**2022 tCO2e**	**2021 tCO2e**
Scope 2	Gas	662	1,322
Scope 2	Transport – company vehicles	587	195
Scope 2	Electricity	821	932
Scope 3	Business trip – transport fuel	22	28
		2,092	**2,477**

Intensity ratios:		
Tonnes of CO2e per million pounds of turnover	0.64	0.76
Tonnes of CO2e per employee	4.57	5.61

Intensity ratio
The intensity ratios are total gross emissions of CO2e (metric tonnes) per million pound (£m) turnover and per employee. These financial metrics are considered relevant to the Company's energy consuming activities and provide a good comparison of performance over time and across different organisations and sectors.

Energy-efficiency action during the current financial year
The impact of the Company on the environment, and its carbon footprint, are important issues to the Company and its management. Energy awareness is continuously promoted across the Company to ensure best wise use of resources, and improvements in processes and equipment are constantly undertaken where gains in efficiency can be won.

Energy efficiency plans for the future periods
The Company is actively assessing the sources of its energy, the potential to use more renewable energy in its operations, and the potential to generate renewable energy on site. The fixed asset investment strategy for the future has energy efficiency at its core and we expect to see rapid and material improvements over the coming years. Since May 2021 fully electric vehicles are now available on the employee car scheme, while up take is dependent on availability this will add to the reduction in emissions.

Section 172 Statement
There is a requirement for Directors to consider long-term effects of decisions made on a wide stakeholder group and the environment in which the Company operates. On top of this, there is a clear requirement to consider the fair treatment of everyone associated with the Company.

Consequences of long term decisions
Naturally, the Directors take a long-term view in all their decision-making, and decisions are always made with the future goals of the Company in mind. The industry landscape is changing, and Directors decisions have to take into account the United Nations' Sustainable Development Goals. These include ever-improving working and living conditions across the World, as prioritising the electrification of our vehicles with a UK target to have a carbon-neutral passenger car fleet by 2030. By keeping these long term targets at the forefront of strategy decisions, the Directors ensure that products stay relevant and help secure the long term survival and success of the Company.

Employees
Our colleagues are the primary reason for the ongoing success of our business. The Company hosts regular Town Halls which include a Q&A at the end for employees to express opinions and ask questions. There are regular Company and team events for employees to attend as well as weekly communications sharing news across the Company. Employee engagement surveys are undertaken to ensure relevant improvements can be made and assistance programmes are available.

Business relationships
Business relationships take a variety of forms including those with customers and suppliers. Customers are the core of a business for all members of staff. The Company puts the customer first and always acts in the interest of the customer above all else. The Directors also recognise the importance of supplier relationships in delivering excellence to our customers. The Company focuses on three key areas when fostering business relationships with suppliers; integrity, openness and respect and fosters this attitude in its employees through companywide training and the overarching culture of the Company.

Culture and community
The Directors recognise that they have an important role in ensuring that the desired culture is reflected in the values, attitudes, and behaviours demonstrated throughout the Company. The Directors have established respect, passion, discipline and integrity as the four core values. Within the Company there are a number of colleague-led culture theme groups; Feedback, Career Development, Purpose, Sustainability Inclusion and Laureus. A large part of Mercedes-Benz's corporate social responsibility consists of supporting socially beneficial projects, one of which is the Laureus Sport for Good Foundation. Laureus aims to help young people living in some of the most deprived areas to change their lives and get into education, training or employment. Laureus use the power of sport to reduce violence, discrimination and disadvantage.

Sustainability and environment
Sustainability is a crucial factor that the Directors recognise as influential in the worldwide corporate domain, particularly in the motor industry. This is driven by six key themes; Climate Protection & Air Quality, Resource Conservation, Liveable Cities, Traffic Safety, Data Responsibility, and Human Rights. The Company recognises three enablers for these themes, which focus on key stakeholder groups. Firstly, Integrity, which is achieved by strengthening trust and relationships by remaining compliant with laws and regulations. Secondly, People, the Company promotes diversity and equality as well as successfully allowing employees to address the challenges of a digital world. The final enabler is Partnerships, enabling a clear and reliable platform of communication, using what we call a 360° process, which takes internal and external expectations into account. On a more local stage, Team Sustainability Group, championed by the Company's Directors, was initiated to spread sustainability awareness internally and identify what we as employees can do to reduce our carbon footprint and contribute to our global carbon neutral goals. Significant works have been undertaken at the Tongwell site which now has solar panel carports installed to generate electricity for the site and numerous electric car chargers. For more detail on the Company's position on sustainability, please visit the corporate website at: www.group.mercedes-benz.com/sustainability.

Reputation for high standard of business conduct
The Company's drive for sustainability is in part driven by the need to maintain the reputation of the business for high standards of conduct. The Company reviews and maintains clear frameworks, including its ethics principles and code of conduct, and ensures colleagues are kept up to date with regular training on these topics. In partnership with the ways the director is informed and monitors compliance with relevant governance standards, helps to ensure that decisions and the actions of the Company promote high standards of business conduct.

Acting fairly as between members of the Company
The main stakeholders identified by the Company are: customers, people, community, government and regulators, and investors/shareholders. In doing so, we lay out our strategy to maintain our reputation for a high standard of business conduct.

On behalf of the board

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W Pipperger
Director
Date: 24.05.2024

MERCEDES-BENZ UK LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 31 DECEMBER 2022

The directors present the directors' report and financial statements for Mercedes-Benz UK Limited for the year ended 31 December 2022.

Results and dividends
The results for the year are set out on page 13.

During the year the Company did not pay a dividend (2021: £nil). The directors do not recommend payment of any further dividends in relation to the year.

Movements in shareholders' funds are set out in the Statement of Changes in Equity.

Directors
The directors who served during the year and up to the date of signing the financial statements, unless otherwise stated, were:

M Breitschwerdt	
G Savage	
H Henn	(Resigned 30 November 2023)
W Pipperger	(Appointed 1 September 2023)

Qualifying third party indemnity provisions
The Company has made qualifying third party indemnity provisions for the benefit of its directors which were made during the year and remain in force at the reporting date.

Supplier payment policy
The Company's policy is to settle terms of payment with suppliers when agreeing the terms of each transaction, ensure that suppliers are made aware of the terms of payment and abide by the terms of payment. Details on the Company's payment practices can be found in its published payment practice reports available at https://check-payment-practices.service.gov.uk

Donations
The Company made charitable donations of £301k (2021 £191k). The Company made £Nil (2021 £Nil) political donations.

Post reporting date events
On 1 January 2023, the Company purchased the trade and assets of fellow group subsidiary Mercedes-Benz Vans UK Limited. The combined entity was then renamed Mercedes-Benz UK Limited. This was then followed by the purchase of the trade and assets of Mercedes-Benz Parts Logistics UK Limited which occurred on 1 January 2024.

Strategic report
The Company has chosen in accordance with Companies Act 2006, s. 414C(11) to set out in the Company's strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, Sch. 7 to be contained in the Directors' report.

Statement of disclosure to auditor
Each director in office at the date of approval of this annual report confirms that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the director has taken all the steps that he / she ought to have taken as a director in order to make himself / herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of section 418 of the Companies Act 2006.

Independent auditor
Under section 487(2) of the Companies Act 2006, KPMG LLP will be deemed to have been reappointed as auditor 28 days after these financial statements were sent to members or 28 days after the latest date prescribed for filing the financial statements with the registrar, whichever is earlier.

On behalf of the board

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W Pipperger
Director
Date: 24 May 2024
Delaware Drive
Tongwell
Milton Keynes
Buckinghamshire
MK15 8BA

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2022

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework.*

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities.

MERCEDES-BENZ UK LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF MERCEDES-BENZ UK LIMITED

Opinion

We have audited the financial statements of Mercedes-Benz UK Limited ("the Company") for the year ended 31 December 2022 which comprise the Income Statement, Statement of Financial Position, Statement of Changes in Equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 December 2022 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework* and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors and inspection of policy documentation as to the Company's high-level policies and procedures to prevent and detect fraud, and the Company's channel for "whistleblowing", as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading board minutes.
- Considering remuneration incentive schemes and performance targets for management and directors

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, and taking into account possible pressures to meet profit targets, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because the accounting for sales transactions is non-complex with limited opportunities or incentives for management to fraudulently manipulate revenue.

We did not identify any additional fraud risks.

In determining the audit procedures we took into account the results of our evaluation and testing of the operating effectiveness of the Company-wide fraud risk management controls.

We also performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual combinations to revenue and cash, and entries made to seldom used accounts.
- Assessing whether the judgements made in making accounting estimates are indicative of a potential bias.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience and through discussion with the directors and the legal department (as required by auditing standards), and from inspection of the Company's legal correspondence and discussed with the directors and legal department the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation ,taxation legislation and pension legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: health and safety, data protection laws, anti-bribery, employment law, regulatory capital and liquidity, automotive and emissions regulations, consumer regulations, and certain aspects of company legislation. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 8, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Simon Baxter (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
2 Forbury Place
33 Forbury Road
Reading
RG1 3AD

24 May 2024

MERCEDES-BENZ UK LIMITED

INCOME STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2022

	Notes	2022 £ 000's	2021 £ 000's
Revenue	3	**3,291,383**	3,241,653
Cost of sales		**(3,064,695)**	(3,009,334)
Gross profit		**226,688**	232,319
Distribution costs		**(19,178)**	(22,608)
Administrative expenses		**(164,930)**	(151,244)
Other operating income		**1,327**	3,002
Operating profit	4	**43,907**	61,469
Investment income	8	**5,484**	7,911
Finance costs	9	**(2,184)**	(1,889)
Profit before taxation		**47,207**	67,491
Tax on profit	10	**(13,088)**	(14,280)
Profit for the financial year		**34,119**	53,211
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Actuarial gain on defined benefit pension schemes	22	**7,586**	36,569
Tax related to actuarial gain on defined benefit pension scheme		**(1,897)**	(9,142)
Total items that will not be reclassified to profit or loss		**5,689**	27,427
Total comprehensive income for the year		**39,808**	80,638

The income statement has been prepared on the basis that all operations are continuing operations.

The accompanying notes form a part of these Financial Statements.

MERCEDES-BENZ UK LIMITED

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2022

	Notes	2022 £ 000's	2021 £ 000's
Non-current assets			
Property, plant and equipment	12	**328,410**	330,202
Retirement benefit surplus	22	**72,969**	63,996
		401,379	394,198
Current assets			
Inventories	14	**554,556**	286,609
Trade and other receivables	15	**250,381**	623,503
Contract assets		**2,689**	2,754
		807,626	912,866
Current liabilities			
Contract liabilities	17	**62,597**	79,439
Trade and other payables	19	**613,398**	654,824
Taxation and social security	16	**70,808**	139,385
Deferred income		**-**	18,894
		746,803	892,542
Net current assets		**60,823**	20,324
Total assets less current liabilities		**462,202**	414,522
Non-current liabilities			
Contract liabilities	17	**23,318**	22,476
Trade and other payables	19	**99,917**	68,651
		123,235	91,127
Provisions for liabilities			
Deferred tax liabilities	20	**13,770**	11,598
Other provisions	21	**66,202**	92,610
		79,972	104,208
Net assets		**258,995**	219,187

MERCEDES-BENZ UK LIMITED

STATEMENT OF FINANCIAL POSITION (CONTINUED)
AS AT 31 DECEMBER 2022

	Notes	2022 £ 000's	2021 £ 000's
Equity			
Called up share capital	**23**	**50,000**	50,000
Pension reserves		**-**	48,809
Retained earnings	**24**	**208,995**	120,378
Total equity		**258,995**	219,187

The financial statements were approved by the board of directors and authorised for issue on 24 May 2024 and are signed on its behalf by:

....
W Pipperger
Director

Company Registration No. 02448457

The accompanying notes form part of these Financial Statements.

MERCEDES-BENZ UK LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2022

	Share capital £ 000's	Pension reserve £ 000's	Retained earnings £ 000's	Total £ 000's
Balance at 1 January 2021	50,000	21,382	67,167	138,549
Year ended 31 December 2021:				
Profit for the year	-	-	53,211	53,211
Other comprehensive income:				
Actuarial gains on defined benefit plans	-	36,569	-	36,569
Tax relating to other comprehensive income	-	(9,142)	-	(9,142)
Total comprehensive income for the year	-	27,427	53,211	80,638
Balance at 31 December 2021	50,000	48,809	120,378	219,187
Year ended 31 December 2022:				
Transfers	-	(48,809)	48,809	-
Profit for the year	-	-	34,119	34,119
Other comprehensive income:				
Actuarial gains on defined benefit plans	-	-	7,586	7,586
Tax relating to other comprehensive income	-	-	(1,897)	(1,897)
Total comprehensive income for the year	-	(48,809)	88,617	39,808
Balance at 31 December 2022	**50,000**	**-**	**208,995**	**258,995**

The statement of changes in equity has been prepared on the basis that all operations are continuing operations.

The accompanying notes form a part of these Financial Statements.

1 Accounting policies

1.1 Accounting convention

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101"). In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of UK-adopted international accounting standards ("UK-adopted IFRS), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The financial statements have been prepared on the historical cost basis. The principal accounting policies adopted are set out below.

The Company has taken advantage of the following disclosure exemptions under FRS 101:

- the requirements of IFRS 7 Financial Instruments: Disclosures;
- the requirements of paragraphs 91-99 of IFRS 13 Fair Value Measurement;
- the requirement in paragraph 38 of IAS 1 'Presentation of Financial Statements' to present comparative information in respect of: (i) paragraph 79(a) (iv) of IAS 1, (ii) paragraph 73(e) of IAS 16 Property Plant and Equipment;
- the requirements of paragraphs 10(d), 10(f), 16, 38A to 38D, 39 to 40 ,111 ,and 134-136 of IAS 1 Presentation of Financial Statements;
- the requirements of IAS 7 Statement of Cash Flows;
- the requirements of paragraphs 30 and 31 of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors;
- the requirements of paragraph 17 of IAS 24 Related Party Disclosures;
- the requirements in IAS 24 Related Party Disclosures to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member ; and
- the requirements of paragraphs 134(d)-134(f) and 135(c)-135(e) of IAS 36 Impairment of Assets.

As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to share based payments, financial instruments, capital management, presentation of a cash flow statement, presentation of comparative information in respect of certain assets, standards not yet effective, impairment of assets, business combinations, discontinued operations and related party transactions.

The Company has taken advantage of the exemption from consolidation of its subsidiaries, on the basis that they are consolidated at a higher level, in the group accounts of Mercedes-Benz Aktiengesellschaft ("Mercedes-Benz AG") incorporated in Germany. The group accounts of Mercedes-Benz AG are available to the public and can be obtained as set out in note 28.
Where required, equivalent disclosures are also provided in the group accounts of Mercedes-Benz AG.

1 Accounting policies ***(Continued)***

1.2 Going concern

The financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

The Company is part of a wider group, whereby group companies use intercompany funding or cash pooling facilities, managed and made available by the ultimate parent company, Mercedes-Benz Group AG (MBGAG), and fellow subsidiary Mercedes-Benz International Finance B.V.

The Company meets its day to day working capital requirements from operational cash flows together with intercompany loans and trading balances with the group headed by MBGAG.

The directors have prepared cash flow forecasts and performed a going concern assessment which indicates that under both the base case and severe yet plausible downside scenarios, the Company will require funds, through funding from its ultimate parent company, MBGAG, and fellow subsidiary Mercedes-Benz International Finance B.V., to meet its liabilities as they fall due during the 12 month period ending May 2025, the going concern assessment period.

Under the base case scenario, future demand for new vehicles is expected to increase, whilst intercompany funding is gradually reduced to match cash flows. Under the severe yet plausible downside scenario, demand for new vehicles is notably reduced from the base case to model a softening market. Intercompany funding is made available for a longer period and at higher levels.

MBGAG has indicated its intention to continue to make available such funds as are needed by the Company, and that it does not intend to seek repayment of the amounts currently due to the group, which at 31 December 2022 amounted to £288,907 thousand, during the going concern assessment period. As with any company placing reliance on other group entities for financial support, the directors acknowledge that there can be no certainty that this support will continue, although, at the date of the approval of these financial statements, they have no reason to believe it will not do so.

Consequently, the directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

1 Accounting policies **(Continued)**

1.3 Revenue

Revenue is measured at the fair value of the consideration received or receivable, and represents amounts receivable for goods supplied, stated net of discounts, returns and value added taxes.

The Company recognises revenue when performance obligations have been satisfied and for the Company this is when the goods or services have transferred to the customer and the customer has control of these. The Company's activities are described in detail below.

The Company sells its vehicles both directly to end customers and to a network of dealers. Revenue on direct sales to customers are recognised on delivery of the vehicle to the end customer. Sales to dealers are recognised at the point a vehicle is allocated to the dealer and is available for onward sale in the United Kingdom. This reflects the detailed terms and conditions of sale of such vehicles and the related funding arrangements with another group company.

Some direct sales include an option or obligation for the customer to sell the vehicle back to the Company at a guaranteed price at a set point in the future. These sales are treated as operating leases with the associated revenue and cost being spread over the lifetime of the contract. The Company's continuing interest in these vehicles is recorded within fixed assets and a liability is recognised representing the deferral of revenue over the lease period and the future commitment to repurchase the vehicle.

Turnover is recognised on the sale of spare parts when the Company has passed the principal risks and rewards of ownership to the customer. This is generally considered to be at the point of dispatch. The amount of revenue recognised for spare parts is adjusted for expected returns, which are estimated based on the historical data for specific part types, adjusted as necessary to estimate returns for new models. The validity of the estimated amount of returns are reassessed at each reporting date. Therefore, a refund liability (included in trade and other payables) and a right to a refund on the returned goods (included in contract assets) are recognised for the products expected to be returned.

Turnover from repair and maintenance contracts represents the value of services provided under these contracts to the extent that there is a right to consideration and is recorded at the value of the consideration due. Where a contract has only been partially completed at the Balance Sheet date turnover represents the value of the service provided to date based on a proportion of the total contract value. Amounts invoiced not recognisable as turnover are recorded within Accruals and deferred income.

Revenue from contracts for the provision of professional services is recognised by reference to the stage of completion when the stage of completion, costs incurred and costs to complete can be estimated reliably. The stage of completion is calculated by comparing costs incurred, mainly in relation to contractual hourly staff rates and materials, as a proportion of total costs. Where the outcome cannot be estimated reliably, revenue is recognised only to the extent of the expenses recognised that are recoverable.

1.4 Property, plant and equipment

Property, plant and equipment are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Freehold land and buildings	4%
Leasehold improvements	
Leases over 25 years	4%
Leases under 25 years	Straight line over remaining life of lease term
Motor vehicles	Straight line over remaining life of lease term
Right of use asset	Straight line over remaining life of lease term

1 Accounting policies **(Continued)**

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the income statement.

1.5 Investments in subsidiaries are measured at cost less accumulated impairment.

Interests in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.6 Inventories

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each reporting date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in profit or loss.

Net realisable value is the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

1.7 Fair value measurement

IFRS 13 establishes a single source of guidance for all fair value measurements. IFRS 13 does not change when an entity is required to use fair value, but rather provides guidance on how to measure fair value under IFRS when fair value is required or permitted. The Company is exempt under FRS 101 from the disclosure requirements of IFRS 13.

1.8 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

1 *Accounting policies* **(Continued)**

1.9 Loans and receivables

Trade receivables, loans and other receivables that have fixed or determinable payments that are not quoted in an active market are classified as 'loans and receivables'. Loans and receivables are measured at amortised cost using the effective interest method, less any impairment.

Interest is recognised by applying the effective interest rate, except for short-term receivables when the recognition of interest would be immaterial. The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating the interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the debt instrument to the net carrying amount on initial recognition.

Expected credit losses

Financial assets, other than those at FVTPL, are assessed for indicators of impairment at each reporting end date.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of a financial instrument.

12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Company is exposed to credit risk.

Measurement of Expected credit losses

Expected credit losses are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive). Expected credit losses are discounted at the effective interest rate of the financial asset.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership to another entity.

1 Accounting policies **(Continued)**

1.10 Financial liabilities

Creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers.

Creditors are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Other financial liabilities, including borrowings, are initially measured at fair value, net of transaction costs. They are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability to the net carrying amount on initial recognition.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the Company's obligations are discharged, cancelled, or they expire.

1.11 Equity instruments

Equity instruments issued by the Company are recorded at the proceeds received, net of direct issue costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the Company.

1.12 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

1 Accounting policies **(Continued)**

Deferred tax

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the income statement, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the Company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.13 Provisions

Provisions are recognised when the Company has a legal or constructive present obligation as a result of a past event and it is probable that the Company will be required to settle that obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting end date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

1.14 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of inventories or non-current assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the Company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1 Accounting policies **(Continued)**

1.15 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

The cost of providing benefits under defined benefit plans is determined separately for each plan using the projected unit credit method, and is based on actuarial advice.

Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plan is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value, and the fair value of any plan assets (at bid price) are deducted. The Company determines the net interest on the net defined benefit asset for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the net defined benefit asset.

The discount rate is the yield at the reporting date on bonds that have a credit rating of at least AA that have maturity dates approximating the terms of the Company's obligations and that are denominated in the currency in which the benefits are expected to be paid.

Remeasurements arising from defined benefit plans comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest). The Company recognises them immediately in other comprehensive income and all other expenses related to defined benefit plans in employee benefit expenses in profit or loss.
When the benefits of a plan are changed, or when a plan is curtailed, the portion of the changed benefit related to past service by employees, or the gain or loss on curtailment, is recognised immediately in profit or loss when the plan amendment or curtailment occurs. The Company then calculates the current service cost for the remainder of the reporting period, post the amendment or curtailment, using the same actuarial assumptions as those used to remeasure the net defined benefit asset.
The calculation of the defined benefit obligations is performed by a qualified actuary using the projected unit credit method. When the calculation results in a benefit to the Company, the recognised asset is limited to the present value of benefits available in the form of any future refunds from the plan or reductions in future contributions and takes into account the adverse effect of any minimum funding requirements.

The Company recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs. The gain or loss on a settlement is the difference between the present value of the defined benefit obligation being settled as determined on the date of settlement and the settlement price, including any plan assets transferred and any payments made directly by the Company in connection with the settlement, ignoring the effect of the asset ceiling that is reversed separately through OCI.

The Company's employees are members of a group wide defined benefit pension plan, The Company is the sponsoring employer of a group wide defined benefit pension plan. The net defined benefit cost of the plan is charged to participating entities on the following basis: number of active members. There are no further contributions payable as the scheme was closed in 2021.

Effects of group deconsolidation

On 30 November 2021, Daimler Truck AG and its subsidiaries, including Mercedes-Benz Trucks UK Limited (MBT), left the Mercedes-Benz group and was no longer a participating employer in the defined benefit (DB) multi-employer pension scheme. On 1 December 2021 a Framework Agreement was entered into between MBT and the Company and the pension Trustees whereby MBT could defer settlement of the S75 Debt to 30 September 2022 and this would only be payable if MBT had not established their own DB scheme to take on their share of assets and liabilities by this date. As sponsoring employer of the multi-employer DB pension scheme, the Company made an accounting policy choice to take on the pension assets and liabilities of MBT at the date of MBT's de-participation from the scheme. The associated surplus was subject to an asset ceiling as the Company did not have an unconditional right to the surplus as a result of the terms of the Framework Agreement entered into. MBT subsequently set up it's own DB pension scheme, taking on their share of assets and liabilities.

1 Accounting policies **(Continued)**

Short-term benefits
Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Termination benefits
Termination benefits are recognised as an expense when the Company is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Company has made an offer of voluntary redundancy, it is probably that the offer will be accepted, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

The net interest element is determined by multiplying the net defined benefit liability by the discount rate, taking into account any changes in the net defined benefit liability during the period as a result of contribution and benefit payments. The net interest is recognised in profit or loss as other finance revenue or cost.

Remeasurement changes comprise actuarial gains and losses, the effect of the asset ceiling and the return on the net defined benefit liability excluding amounts included in net interest. These are recognised immediately in other comprehensive income in the period in which they occur and are not reclassified to profit and loss in subsequent periods.

The net defined benefit pension asset or liability in the balance sheet comprises the total for each plan of the present value of the defined benefit obligation (using a discount rate based on high quality corporate bonds), less the fair value of plan assets out of which the obligations are to be settled directly. Fair value is based on market price information, and in the case of quoted securities is the published bid price. The value of a net pension benefit asset is limited to the amount that may be recovered either through reduced contributions or agreed refunds from the scheme.

1 Accounting policies **(Continued)**

1.16 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

A lease is identified as a contract, or a part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration.

Under IFRS16 Leases, the Company recognises a right of use asset and a lease liability in the Statement of Financial Position for all operating leases. The right of use asset is initially measured at cost, comprising of the initial amount of the lease adjusted for any accruals/prepayments made before the commencement date.

The right of use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, as this is expected to be less than the useful life of the asset. The estimated useful life is determined on the same basis as property plant and equipment.

The lease liability is initially measured at present value of the lease payments that are not paid at commencement date, discounted using the incremental borrowing rate. Lease payments relate to rental payments.

The lease liability is measured at amortised cost using the effective interest method. It will be re-measured if the Company elects to change it's stance on early termination.

The incremental borrowing rate is determined based on a combination of calculated risk-free interest rates and risk premiums, combined to give an incremental borrowing cost. There is then a duration adjustment to align more closely with the cash flow pattern of an annuity.

A short-term lease is any lease agreement of 12 months or less. There is no requirement to recognise a right of use asset or liability for a short-term lease. The Company has one short-term lease, the treatment of which is to recognise the consideration for rental payments as an expense through Profit and Loss.

If a significant event or change in circumstances that affects the lease term or the lease payments occurs, that is within the control of the Company, then the present value of the lease liability is re-measured using the revised terms and payments. The right of use asset is also adjusted based off the revised payment schedule. Any gain or loss recognised is then recognised through profit and loss.

2 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Key sources of estimation uncertainty

Pensions and similar obligations

The calculation of provisions for pensions and similar obligations and the related pension cost are based on various actuarial valuations. The calculations are subject to various assumptions on matters such as current actuarially developed probabilities (e.g. discount factors and cost-of-living increases), future fluctuations with regard to age and period of service, and experience with the probability of occurrence of pension payments, annuities or lump sums. As a result of changed market or economic conditions, the probabilities on which the influencing factors are based, may differ from current developments. The financial effects of deviations of the main factors are calculated with the use of sensitivity analyses. See Note 22 for further information.

3 Revenue

The Company derives all of its turnover and profit before taxation from its main trading activity. No material sales are made outside of the United Kingdom.

	2022 £ 000's	2021 £ 000's
Revenue analysed by class of business		
Revenue from the sale of goods	**3,131,620**	3,118,511
Revenue from services	**159,762**	123,142
	3,291,382	3,241,653

	2022 £ 000's	2021 £ 000's
Timing of transfer of goods and services		
Products and services transferred at a point in time	**3,198,267**	3,156,929
Products and services transferred over time	**93,115**	84,724
	3,291,382	3,241,653

4 Operating profit

	2022 £ 000's	2021 £ 000's
Operating profit for the year is stated after charging/(crediting):		
Depreciation of property, plant and equipment	**32,173**	29,952
Impairment of property, plant and equipment	**8,700**	-

5 Auditor's remuneration

	2022 £ 000's	2021 £ 000's
Fees payable to the Company's auditor and associates:		
For audit services		
Audit of the financial statements of the company	**497**	149
Additional fees in respect of the audit of the 2021 financial statements of the Company	**40**	-
	537	149

6 Employees

The average monthly number of persons (including directors) employed by the Company during the year was:

	2022 Number	2021 Number
Administration staff	**421**	403
Management staff	**37**	44
	458	447

Their aggregate remuneration comprised:

	2022 £ 000's	2021 £ 000's
Wages & salaries	**23,783**	21,364
Social security costs	**2,712**	2,339
Pension costs	**2,145**	1,363
	28,640	25,066

7 Directors' remuneration

	2022 £ 000's	2021 £ 000's
Directors' emoluments	**1,066**	923
Cash received under long term incentive schemes	**140**	99
	1,206	1,022

During the year 2022, 1 directors, including the highest paid director (2021: 2 directors, including the highest paid director) received monetary amounts under long-term incentive schemes totalling £140k (2021: £99k).

During the year 2022, benefits were accruing to no directors (2021: 0 directors) in respect of defined contribution or defined benefit pension schemes totalling £nil (2021: £nil).

Remuneration disclosed above include the following amounts paid to the highest paid director:	2022 £ 000's	2021 £ 000's
Remuneration	**668**	556
Cash received under long term incentive schemes	**140**	72
	808	628

One director is remunerated by the Company, but also provides services to other group companies, which is recharged by the Company. That director's remuneration is displayed net of the amounts charged to and disclosed by other group companies' in their financial statements.

8 Investment income

	2022 £ 000's	2021 £ 000's
Interest income		
Interest on retirement benefit surplus	**2,059**	383
Interest receivable from group companies	**1,375**	4
Other interest income	**2,050**	7,524
Total income	**5,484**	7,911

Other interest income in 2022 and 2021 represents a positive effect of discount unwinding. In 2021 there was also the release of an accrual for a penalty after confirmation from HMRC that after investigation into transfer pricing the penalty will not be payable.

9 Finance costs

	2022 £ 000's	2021 £ 000's
Interest payable to group undertakings	**2,184**	1,889

10 Income tax expense

	2022 £ 000's	2021 £ 000's
Current tax		
UK corporation tax on profits for the current period	**10,951**	13,341
Adjustments in respect of prior periods	**1,835**	1,207
Total current tax	**12,786**	14,548
Deferred tax		
Origination and reversal of temporary differences	**302**	(701)
Adjustment in respect of prior periods	**-**	433
Total deferred tax	**302**	(268)
Total tax charge	**13,088**	14,280

Factors that may affect future tax charges

Finance Act 2021 was substantively enacted on 1 October 2022 and included legislation to increase the main rate of corporation tax from 19% to 25% effective April 2023.

Deferred tax assets and liabilities at the reporting date were calculated at 25% (2021: 25%).

10 Income tax expense (Continued)

The charge for the year can be reconciled to the profit per the income statement as follows:

	2022 £ 000's	2021 £ 000's
Profit before taxation	**47,207**	67,491
Expected tax charge based on a corporation tax rate of 19%	**8,969**	12,823
Effect of expenses not deductible in determining taxable profit	**1,886**	436
Adjustment in respect of prior years	**1,835**	1,640
Effect of change in UK corporation tax rate	**302**	392
Capital allowances in excess of depreciation	**(134)**	(1,011)
Loss on disposal of fixed assets	**230**	-
Taxation charge for the year	**13,088**	14,280

In addition to the amount charged to the income statement, the following amounts relating to tax have been recognised directly in other comprehensive income:

	2022 £ 000's	2021 £ 000's
Deferred tax arising on:		
Actuarial differences recognised as other comprehensive income	**1,897**	9,142

11 Impairments

Impairment tests have been carried out where appropriate and the following impairment losses have been recognised in profit or loss:

	2022 £ 000's	2021 £ 000's
In respect of:		
Property, plant and equipment	8,700	-
Recognised in:		
Administrative expenses	8,700	-

Due to market conditions through 2022 and onwards, an impairment was realised on the Mercedes-Benz World brand centre building. This was a reflection of the combination of rising conversion costs, decreasing market rents, and the inflationary pressures in the UK resulting in rising interest rates.

12 Property, plant and equipment

	Freehold land and buildings	Leasehold improve ments	Leases under 25 years	Motor vehicles	Right of use assets	Total
	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's
Cost						
At 01 January 2022	38,066	9,911	28,898	299,831	18,587	395,293
Additions	35,730	-	4,716	138,276	-	178,722
Disposals	-	-	(4,882)	(143,611)	-	(148,493)
At 31 December 2022	**73,796**	**9,911**	**28,732**	**294,496**	**18,587**	**425,522**
Accumulated depreciation and impairment						
At 01 January 2022	13,432	3,520	19,072	23,248	5,819	65,091
Charge for the year	2,277	395	1,775	25,786	1,940	32,173
Impairment loss (profit or loss)	8,700	-	-	-	-	8,700
Eliminated on disposal	-	-	(3,663)	(5,189)	-	(8,852)
At 31 December 2022	**24,409**	**3,915**	**17,184**	**43,845**	**7,759**	**97,112**
Carrying amount						
At 31 December 2022	**49,387**	**5,996**	**11,548**	**250,651**	**10,828**	**328,410**
At 01 January 2022	24,634	6,391	9,826	276,583	12,768	330,202

More information on the impairment arising in the year is given in note 11.

13 Investments in subsidiaries

The Company's investments in subsidiaries have a carrying value of Nil (2021: nil).

Details of the Company's subsidiaries at 31 December 2022 and 31 December 2021 are as follows:

Name of undertaking	Registered office	Ownership interest (%)	Voting power held (%)	Nature of business
Mercedes-Benz UK Trustees Limited	Delaware Drive, Tongwell, Milton Keynes, England, MK15 8BA	100	100	Pension funding
Mercedes-Benz Brooklands Limited	Delaware Drive, Tongwell, Milton Keynes, England, MK15 8BA	100	100	Property management
Brooklands Estates Management Limited	Delaware Drive, Tongwell, Milton Keynes, England, MK15 8BA	100	100	Property management

Brooklands Estates Management Limited does not have any share capital as it is limited by guarantee. Its controlling party is Mercedes-Benz UK Limited.

14 Inventories

	2022 £ 000's	2021 £ 000's
Finished goods and goods for resale	**554,556**	286,609

The reversal of write-down of stocks to net realisable value amounted to £3.7m (2021: £47.1m reversal of write-down). Write-downs and reversals are included in cost of sales. Reversals are due to strong prices achieved in the market with high demand.

The value of stock recognised in cost of sales in the year was £2,543m (2021: £2,717m).

15 Trade and other receivables

	Current	
	2022 £ 000's	2021 £ 000's
Trade receivables	**131,395**	131,137
Amounts owed by fellow group undertakings	**69,679**	456,440
Prepayments	**49,307**	35,926
	250,381	623,503

16 Taxation and social security

	2022	2021
	£ 000's	**£ 000's**
Corporation Tax	**46,817**	47,411
VAT	**23,991**	91,974
Total	**70,808**	139,385

The large decrease in VAT payables from 2021 is due to the UK's VAT deferral scheme, operational during the peak of Coronavirus. The Company has since paid all its deferred VAT.

17 Contract liabilities

	Current		Non-current	
	2022	**2021**	**2022**	**2021**
	£ 000's	**£ 000's**	**£ 000's**	**£ 000's**
Service contract advance payments	**46,387**	44,629	**17,685**	17,187
Dealer discounts and bonuses	**15,513**	34,810	**-**	-
Connectivity service advance payment	**697**	-	**2,425**	2,024
Parts with a right to return	**-**	-	**3,208**	3,265
	62,597	79,439	**23,318**	22,476

18 Leases

	Head Office
Right of use assets	£ 000's
Balance as at 1 January 2022	12,768
Depreciation charge for the year	(1,940)

Lease liabilities as at 31 December 2022	
Current	1,924
Non-Current	9,194
	11,118

Amounts recognised in Profit and Loss	
Interest expense on lease liabilities	268
Depreciation charged on the Right of Use asset	1,940
	2,208

19 Trade and other payables

	Current		Non-current	
	2022	2021	2022	2021
	£ 000's	£ 000's	£ 000's	£ 000's
Trade payables	**44,461**	26,338	-	-
Amounts due to group undertakings	**288,907**	268,610	-	-
Accruals and deferred income	**99,463**	102,472	**10,454**	6,962
Liabilities for buyback agreements	**170,338**	250,569	**78,638**	48,854
Other payables	**10,229**	6,835	**10,825**	12,835
	613,398	654,824	**99,917**	68,651

20 Deferred taxation

The following are the major deferred tax liabilities and assets recognised by the Company and movements thereon during the current and prior reporting period.

	Deferred taxation £ 000's
Deferred tax liability at 1 January 2021	(2,591)
Deferred tax movements in prior year:	
Credit to other comprehensive income - Pension	(9,148)
Debit to profit of loss - Other	141
Deferred tax liability at 1 January 2022	**(11,598)**
Thereof;	
Pension	(13,615)
Other	2,017
	(11,598)
Deferred tax movements in current year:	
Credit to other comprehensive income - Pension	**(1,897)**
Credit to profit of loss - Other	**(275)**
Deferred tax liability at 31 December 2022	**(13,770)**
Thereof;	
Pension	**(15,512)**
Other	**1,742**
	(13,770)

21 Provisions for liabilities

	Buyback provision	Provision for warranty	Provision for repair & maintenance contracts	Other provisions	Total
	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's
At 1 January 2022	37,259	31,509	7,503	16,339	92,610
Additional provisions in the year	38,016	7,066	567	5,679	51,328
Utilisation of provision	(47,831)	(12,112)	(4,228)	(7,474)	(71,645)
Effect of discounting	(3,222)	(2,869)	-	-	(6,091)
At 31 December 2022	24,222	23,594	3,842	14,544	66,202

The buyback provision represents the expected losses to be incurred on vehicles for which we have a buyback agreement and the agreed repurchase price is no longer representative of the market value of those vehicles. The provision is utilised in line with the relevant contract end dates and is calculated using the current market value of the vehicles. The model is a backward looking tool that forecasts future values based on historical trends and provides a future sales value which cannot be manipulated. The only manually amended items would be in respect of a valuation/market conditions of an expected future event that the tool would have no historical data to predict.

Provision for warranty represents the cost of fulfilling the three year warranty offered to all customers on the purchase of a new vehicle, where the manufacturer covers the first two years and the Company covers the third due to market expectations. The provision is calculated using past claim data and the three-year vehicle parc to assess our future obligations and is utilised as valid claims are paid.

Provision for repair and maintenance contracts represents the losses expected to be made on some service contracts where costs have been incurred which won't be fully covered by the sale of the contract itself. The provision is calculated using standard cost curves to create an expectation of remaining costs to the business on an individual contract level, and is utilised in line with those losses being incurred.

Other provisions relate to two topics, VAT & benefit in kind owed to HMRC where the Company is in communication in an attempt to resolve the matter, calculated on their most recent estimates of amounts due. Secondly service measures where corrective modifications customer vehicles may be required, calculated based on an estimate of costs and affected vehicle numbers.

22 Retirement benefit schemes

Defined contribution schemes

The Company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the Company in an independently administered fund.

The total costs charged to the profit and loss in respect of defined contribution plans is £1,471k (2021: £1,363k). There are no outstanding contributions at the statement of financial position date (2021: £nil).

22 Retirement benefit schemes **(Continued)**

Defined benefit scheme

The Company operates a defined benefit scheme for qualifying employees. The scheme includes Mercedes-Benz Parts Logistics UK Limited & Mercedes-Benz Retail Group UK Limited as participating employers with the Company being the "principal employer" of the scheme. The assets and liabilities are distributed between the entities with agreed allocations set by the qualified actuary.

On 31 December 2022, Mercedes-Benz Vans Limited demerged from the defined benefit pension scheme operated by Mercedes-Benz UK Ltd at which point the assets and liabilities allocated to the Company were reallocated to Mercedes-Benz Cars UK Ltd. The impact of the reallocations during the year have been included within 'Impact of change in employer on demerger' to the present value of defined benefit obligations and the fair value of plan assets in other comprehensive income.

Under the schemes, the employees are entitled to retirement benefits linked to final salary on reaching retirement age. No other post-retirement benefits are provided.

The schemes are funded multi-employer schemes for which the Company is considered to be the Sponsoring Employer. The assets of the schemes are held separately from those of the Company and a qualified actuary, on the basis of annual valuations using the projected unit method, determines contributions to the scheme. The contribution paid by the employer is affected by the existence of any surplus or deficit in the scheme. The contribution payable and charged to the profit and loss account of the participating companies for the year 2022 was £133k (2021: £320k), of which £95k (2021: £245k) was payable by the Company.

The scheme closed for additional contributions at the start of 2021, so the only contribution payable in the current and future financial years will be to cover the administration fees of the scheme.

As the scheme is closed for future accrual the maturity profile of the pension is dependent on when the assets will mature which is based on the retirement ages outlined in the assumptions.

The most recent actuarial valuations of plan assets and the present value of the defined benefit obligation were carried out at 31 December 2022 by Mercer Limited, qualified actuaries. The present value of the defined benefit obligation, the related current service cost and past service cost were measured using the projected unit credit method.

The trustees responsibilities are disclosed in the Mercedes-Benz Pension scheme accounts that are publicly available.

22 Retirement benefit schemes **(Continued)**

Key assumptions	**2022 %**	**2021 %**
Pension growth rate	**2.90**	2.90
Salary growth rate	**3.35**	3.25
Pre 1997 pension increases	**1.90**	2.00
1997-2006 pension increases	**2.90**	2.80
Post 2006 pension increases	**1.90**	2.00

Mortality assumptions	**2022**	**2021**
Assumed life expectations on retirement at age 65:	**Years**	**Years**
Retiring today		
- Males	**22.8**	22.8
- Females	**24.9**	24.8
Retiring in 20 years:		
- Males	**24.5**	24.4
- Females	**26.6**	26.5

Amounts recognised in the income statement	**2022 £000's**	**2021 £000's**
Current service cost	**778**	765
Net interest on defined benefit liability/asset	**(2,059)**	(382)
Total costs/(income)	**(1,281)**	383

Amounts recognised in other comprehensive income		
Actuarial changes arising from changes in demographic assumptions	**-**	2,398
Actuarial changes arising from changes in financial assumptions	**177,608**	25,062
Actuarial changes related to plan assets	**(174,485)**	9,108
Change in accounting policy recognition of assets and liabilities of MBT	**-**	5,437
Net impact of change in employer on demerger	**(974)**	-
Change in the effect of the asset ceiling	**5,437**	(5,437)
Total income	**7,586**	36,568

22 Retirement benefit schemes **(Continued)**

The amounts included in the statement of financial position arising from the Company's obligations in respect of defined benefit plans are as follows:

	2022 £000's	2021 £000's
Fair value of plan assets	**291,462**	504,362
Present value of defined benefit obligations	**(218,493)**	(434,929)
Effect of asset ceiling	**-**	(5,437)
Surplus in scheme	**72,969**	63,996

Asset ceiling refers to the Mercedes-Benz Trucks UK (MBT) element of the group asset managed by Mercedes-Benz Cars UK (MBC). *The surplus recognised as there is a right to refund however MBT's* element has been restricted as MBC holds no unconditional right to refund.

Movements in the present value of defined benefit obligations

	2022 £000's	2021 £000's
At the beginning of the year	**434,929**	439,009
Current service cost	**778**	765
Benefits paid	**(13,277)**	(17,498)
Contributions from scheme members	**-**	-
Actuarial gains and losses	**(177,608)**	(27,460)
Interest cost	**7,927**	6,052
MBT liabilities from change in accounting policy	**-**	34,061
Impact of change in employer on demerger	**(34,256)**	-
At the end of the year	**218,493**	434,929

Movements in the fair value of plan assets:

	2022 £000's	2021 £000's
At the beginning of the year	**504,362**	466,091
Interest income	**9,986**	6,434
Return on plan assets (excluding amounts included in net interest)	**(174,485)**	9,592
Benefits paid	**(13,277)**	(17,498)
Contributions by the employer	**106**	245
Contributions by scheme members	**-**	-
MBT asset from change in accounting policy	**-**	39,498
Impact of change in employer on demerger	**(35,230)**	-
At end of year	**291,462**	504,362

22 Retirement benefit schemes **(Continued)**

Impact of change in employer on demerger

During the year, Mercedes-Benz Trucks UK Limited, a fellow group undertaking, demerged from the defined benefit pension scheme operated by Mercedes-Benz Car UK Ltd. Following the demerger, the assets and liabilities of the scheme were reallocated across the group with revised allocations set by the qualified actuary. The impact of the reallocation during the year has been included within 'other movements' to the present value of defined benefit obligations and the fair value of plan assets above.

Sensitivity of the defined benefit obligations to changes in assumptions

Scheme obligations would have been affected by changes in assumptions as follows:

Whilst the Company considers the methodologies and assumptions adopted in the fair value measurements and sensitivity analysis as supportable, reasonable and robust, because of the inherent uncertainty of valuation, those estimated values may differ significantly, due to market volatility from the values that would have been used, had a ready market for the balances existed and the differences could be significant.

Discount rate +/- 25 basis points	- increase	210,367	413,547
	- decrease	227,098	457,909
Price inflation rate +/- 10 basis points	- increase	221,262	443,437
	- decrease	215,254	426,645
Life expectancy +/- 1 year	- increase	213,447	419,967
	- decrease	223,655	450,077

The fair value of plan assets at the reporting period end was as follows:

Equity instruments	**30,616**	36,490
Debt instruments	**221,499**	436,491
Other	**39,347**	31,381
	291,462	504,362

23 **Share capital**	**2022**	**2021**
	£ 000's	**£ 000's**
Ordinary share capital		
Authorised		
Allotted, called up, and fully paid		
50,000,000 ordinary shares of £1 each	**50,000**	50,000
	50,000	50,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

None of the ordinary shares carry any special rights with regard to control of the Company or distributions made by the Company. There are no known agreements relating to, or restriction on, voting rights attached to the ordinary shares.

There are no restrictions on the transfer of shares, and there is no requirement to obtain approval for a share transfer.

There are no known arrangements under which financial rights are held by a person other than the holder of the ordinary shares. There are no known limitations on the holding of the shares.

24 Retained Earnings

This reserve represents cumulative profit and loss net of distribution to owners.

25 Contingent liabilities

Consumer class actions were filed against the Company, further Mercedes group companies in the UK, Mercedes-Benz Group AG and Mercedes-Benz AG (collectively 'the Defendants') in the United Kingdom since May 2020.

With regard to the Company and the further Mercedes-Benz group companies in the UK, the plaintiffs assert inter alia breach of contract and breach of consumer regulations based on their claim, that the Mercedes-Benz Group had used devices that impermissibly impair the effectiveness of emission control systems in reducing nitrogen oxide (NOX) emissions and which cause excessive emissions from vehicles with diesel engines. Furthermore, they claim that the Mercedes-Benz Group deceived consumers in connection with advertising in relation of Mercedes-Benz diesel vehicles. The proceedings in England and Wales consist of several individual lawsuits that have been consolidated into one class action. A class action lawsuit is also pending in Scotland. In these proceedings, allegedly injured parties must actively register for the enforcement of claims (opt-in). The plaintiffs in the consumer class action in England and Wales also allege, amongst others, anti-competitive behaviour relating to technology for the treatment of diesel exhaust emissions.

The Directors consider that in the event that the plaintiffs are successful and damages are awarded that these would be met by Mercedes-Benz AG. Accordingly this matter is regarded as a contingent liability in these financial statements.

The Directors understand that if such legal proceedings have an unfavourable outcome, Mercedes-Benz AG may encounter substantial financial burdens.

With respect to the legal proceedings described above, no further information is disclosed, so as not to prejudice the position of the Company, and other defendants.

26 Events after the reporting date

On 1 January 2023, the Company purchased the trade and assets of fellow group subsidiary Mercedes-Benz Vans UK Limited. As a result of this purchase there was also an increase in the Company's share capital of £125,588k. The combined entity was then renamed Mercedes-Benz UK Limited.

Subsequently on the 1 January 2024, the Company purchased the trade and assets of fellow group subsidiary Mercedes-Benz Parts Logistics Limited.

27 Related party transactions

During the years ending 31 December 2022 and 31 December 2021 the Company had transactions with members of the Mercedes-Benz group which are not wholly owned, these transactions were carried out at arms length:

Mercedes-Benz Trucks UK Limited

During the year the Company had a income of £5,228k (2021: £405k) from Mercedes-Benz Trucks UK Limited, and at the year end a balance of £320k (2021: £35k) was owed to the Company.

Mercedes-Benz Grand Prix Limited

During the year the Company had a cost of £231k (2021: cost of £6k) from Mercedes-Benz Grand Prix Limited, and at the year end a balance of £5k was owed to (2021: £49k) the Company.

Mercedes-Benz Formula E Limited

During the year the Company had income of £20k (2021: £7k) from Mercedes-Benz Formula E Limited, and at the year end no balance was owed to (2021: £1k) the Company.

LSH Auto UK Limited

During the year the Company had income of £7,574k (2021: £3,295k) from LSH Auto UK Limited and costs of £9,412k (2021: £9,558k), and at the year end a balance of £316k was owed to (2021: £1,250k) the Company.

Aston Martin Lagonda

During the year the Company had income of £24k (2021: income of £36k) from Aston Martin Lagonda, and at the year end a balance of £3k was owed to (2021: £6k) the Company.

28 Controlling party

The Company is a wholly owned subsidiary of Mercedes-Benz Holdings UK Limited. The Company's ultimate parent undertaking and controlling party is Mercedes-Benz Group Aktiengesellschaft, 70372 Stuttgart Germany, which is incorporated in Germany and heads the only group in which the results of the Company are consolidated for statutory purposes. The consolidated accounts of Mercedes-Benz Group Aktiengesellschaft are available to the public and may be obtained from their corporate website.